

# OPERATING AGREEMENT

OF

[COMPANY NAME], LLC

A FLORIDA PROTECTED SERIES LIMITED LIABILITY COMPANY

(Manager-Managed — Single Member / S Corporation)

THIS OPERATING AGREEMENT (this "Agreement") of [COMPANY NAME], LLC, a Florida protected series limited liability company (the "Company"), is made and entered into effective as of [DATE] (the "Effective Date"), by the undersigned sole member (the "Member") and is acknowledged by the undersigned manager (the "Manager").

## RECITALS

A. The Company was formed as a Florida limited liability company by the filing of Articles of Organization with the Florida Department of State, Division of Corporations (the "Department").

B. The Company is a **protected series limited liability company** within the meaning of ss. 605.2101–605.2802, Florida Statutes, having designated, or intending to designate, one or more protected series by filing one or more Protected Series Designations with the Department.

C. The Company has elected, or intends to elect, to be classified as an association taxable as a corporation and to be treated as an S corporation for federal income tax purposes.

D. The Member is the sole member of the Company, and intends by this Agreement to set forth the terms governing the Company, each Protected Series designated by the Company, and the relations among the Company, each Protected Series, the Member, and the Manager.

NOW, THEREFORE, the Member adopts the following as the operating agreement of the Company and of each Protected Series:

## ARTICLE 1 — THE COMPANY

**1.1 Definitions.** Capitalized terms have the meanings set forth in Article 2 or in the Section in which they are used.

**1.2 Formation; Status as Protected Series LLC.** The Company is a limited liability company organized under the Florida Revised Uniform Limited Liability Company Act, Chapter 605, Florida Statutes (the "Act"). Upon the filing of its first Protected Series Designation with the Department, the Company is, and shall be identified in its records and dealings as, a *protected series limited liability company* governed by the Act, including ss. 605.2101–605.2802 (the "Protected Series Provisions"). If at any time no Protected Series of the Company is in existence,

the Company shall continue as a Florida limited liability company governed by this Agreement (excluding the provisions specific to Protected Series) until a new Protected Series Designation is filed.

**1.3 Name; Names of Protected Series.** The name of the Company is [COMPANY NAME], LLC. The name of each Protected Series shall be as set forth in its filed Protected Series Designation and its Series Exhibit. If the Company changes its name, the Manager shall promptly make all filings required to conform the name of each Protected Series.

**1.4 Purposes and Powers.** The purpose of the Company, and of each Protected Series, is to engage in any lawful business, purpose, or activity for which limited liability companies may be organized under the Act, together with any additional purpose set forth in the Articles of Organization and, as to a Protected Series, any additional purpose set forth in its Series Exhibit. An additional purpose so stated is cumulative and does not limit the general purpose stated in this Section. The Company, and each Protected Series in its own name, shall have all powers conferred by the Act, including with respect to each Protected Series the power to enter into and enforce contracts; to acquire, own, hold, improve, lease, encumber, and convey real, personal, and intangible property; to grant liens and security interests in its Associated Assets; to open and maintain deposit and investment accounts; to sue and be sued; and to conduct its activities and affairs in its own name, all as contemplated by s. 605.2103, Florida Statutes.

**1.5 Principal Office.** The principal office of the Company is [PRINCIPAL ADDRESS], or such other place as the Manager may determine. A Protected Series may maintain its own place of business as determined by its Protected Series Manager.

**1.6 Registered Agent and Registered Office.** The registered agent and registered office of the Company shall be as stated in the records of the Department. As required by the Act, the registered agent and registered office of the Company shall also serve as the registered agent and registered office for each Protected Series. Service of process, notice, or demand on a Protected Series may be made as provided by law, including s. 48.062, Florida Statutes.

**1.7 Term.** The Company's existence is perpetual unless the Company is dissolved and wound up in accordance with this Agreement and the Act. No Protected Series may have a duration extending beyond the existence of the Company.

**1.8 Location of Records.** The records of the Company and of each Protected Series — including the records required by Article 8 — shall be maintained at the Company's principal office or at such other location (including secure electronic storage) as the Manager determines, and shall at all times be retrievable in perceivable form.

**1.9 Filings.** The Manager shall execute and cause to be filed with the Department all records the Act requires or permits, including Protected Series Designations, amendments thereto, statements of change, annual reports, and statements of dissolution, and shall take all other action necessary to maintain the Company and each Protected Series in good standing.

**1.10 How Assets Are Associated.** An asset becomes an Associated Asset of a Protected Series, or of the Company, by the records required under Article 8 and s. 605.2301, Florida Statutes.

**1.11 Membership Interest.** The Member's interest in the Company is personal property for all purposes.

## **ARTICLE 2 — DEFINITIONS**

**2.1 "Act"** means the Florida Revised Uniform Limited Liability Company Act, Chapter 605, Florida Statutes, as amended, including the Protected Series Provisions.

**2.2 "Associated Asset"** means an asset of a Protected Series, or of the Company, that satisfies the recordkeeping requirements of s. 605.2301, Florida Statutes, and Article 8 of this Agreement.

**2.3 "Associated Liability"** means a liability incurred by, contracted for, or otherwise existing with respect to a particular Protected Series or the Company, as reflected in the records maintained under Article 8.

**2.4 "Associated Member"** has the meaning given in s. 605.2302, Florida Statutes — a member of the Company whom an operating agreement designates as an associated member of a Protected Series. This Agreement designates none: no Protected Series established under it has an Associated Member, and each Protected Series is owned by the Company as provided in Section 3.6 and managed as provided in Section 5.2.

**2.5 "Code"** means the Internal Revenue Code of 1986, as amended, and the Treasury Regulations promulgated under it.

**2.6 "Company"** means [COMPANY NAME], LLC.

**2.7 "Immediate Family Member"** means (a) any ancestor of the Member or descendant of a grandparent of the Member (each an "Individual Family Member," and including persons legally adopted before age 18), or (b) a trust or other entity for the benefit of one or more Individual Family Members, provided all beneficial interests in that entity are held by such persons; a trust is not excluded merely because a remainder beneficiary is not an Individual Family Member.

**2.8 "Incapacitated"** means, as to any person, that (a) a court of competent jurisdiction has determined the person to be incapacitated or has appointed a guardian of the person's property, or (b) two licensed physicians have certified in writing that the person is unable to manage the person's financial affairs. A person ceases to be Incapacitated upon a court order restoring capacity or a written certification by two licensed physicians that the person is again able to manage the person's financial affairs.

**2.9 "Manager"** means the person named in Section 5.1 and any successor designated under this Agreement.

**2.10 "Member"** means the person identified as such on Exhibit A and any successor admitted in accordance with this Agreement.

**2.11 "Membership Interest"** means the Member's entire interest in the Company, including the Member's interest in capital, profits, and distributions of the Company, and all rights of a member under the Act and this Agreement.

**2.12 "Protected Series" or "PS"** means a protected series of the Company established under s. 605.2201, Florida Statutes, and identified in a Series Exhibit.

**2.13 "Protected Series Designation"** means a designation of a protected series filed with the Department under s. 605.2201, Florida Statutes, as amended from time to time.

**2.14 "Protected Series Manager"** means the person responsible for management of a Protected Series under Section 5.2.

**2.15 "Series Exhibit"** means, for each Protected Series, the exhibit to this Agreement (each numbered PS-1, PS-2, and so on) setting forth the terms specific to that Protected Series. Each Series Exhibit is a part of this Agreement.

**2.16 "Transfer"** means any assignment, transfer, conveyance, devise, gift, pledge, hypothecation, encumbrance, or other disposition, direct or indirect, voluntary or involuntary, in trust or otherwise, and as a verb has a corresponding meaning.

### **ARTICLE 3 — PROTECTED SERIES**

**3.1 Establishment.** With the consent of the Member, the Company may establish one or more Protected Series by causing a Protected Series Designation to be signed and filed with the Department as provided in s. 605.2201, Florida Statutes. At or before the filing of each Protected Series Designation, the Member and the Manager shall adopt a Series Exhibit for the new Protected Series. The Manager is authorized to execute and file each Protected Series Designation the Member approves. Each Protected Series shall be established without Associated Members.

**3.2 Status of Each Protected Series.** As provided by the Act, each Protected Series:

(a) is a "person" for purposes of the Act and the Uniform Commercial Code, distinct from the Company, from every other Protected Series, from the Member, and from the Manager;

(b) may, in its own name, conduct any activity in furtherance of its purpose, exercise the powers described in Section 1.4, and sue and be sued;

(c) is **not** a separate legal entity capable of existing independently of the Company, may not be a member of the Company, may not itself designate a protected series, and may not merge, convert, domesticate, or engage in an interest exchange except as ss. 605.2602 and 605.2605–605.2607, Florida Statutes, permit; and

(d) shall be governed by this Agreement, applied to that Protected Series as though the Protected Series were a separate limited liability company, except as its Series Exhibit expressly provides otherwise and except as the Act requires otherwise.

**3.3 Limitation of Liability Among Series (Statutory Shields).** Consistent with s. 605.2401, Florida Statutes:

(a) A debt, obligation, or other liability of the Company is solely the debt, obligation, or liability of the Company, and is enforceable only against the Associated Assets of the Company;

(b) A debt, obligation, or other liability of a Protected Series is solely the debt, obligation, or liability of that Protected Series, and is enforceable only against the Associated Assets of that Protected Series;

(c) No Protected Series is liable for, and the Associated Assets of a Protected Series are not available to satisfy, any debt, obligation, or liability of the Company or of any other Protected Series; and the Company is not liable for, and the Associated Assets of the Company are not available to satisfy, any debt, obligation, or liability of any Protected Series; and

(d) The Member and the Manager are not personally liable, directly or indirectly, by way of contribution or otherwise, for any debt, obligation, or liability of the Company or of any Protected Series solely by reason of being or acting as a member, manager, or protected-series manager.

**3.4 Dissolution of a Protected Series Distinguished.** The dissolution and winding up of a Protected Series does not, by itself, cause the dissolution of the Company or of any other Protected Series. The dissolution of the Company causes the dissolution of every Protected Series, and the winding up of the Company is not complete until each Protected Series is wound up.

**3.5 Series Exhibits Control Series Terms.** The terms specific to each Protected Series — including its name, purpose, Protected Series Manager, capital, and any variations from the default rules of this Agreement — are set forth in its Series Exhibit. In the event of a conflict between a Series Exhibit and this Agreement with respect to the Protected Series to which the Series Exhibit relates, the Series Exhibit controls, except that no Series Exhibit may vary a provision of the Act that may not be varied by an operating agreement (see s. 605.2107, Florida Statutes), the provisions of Article 8, or the provisions of Article 9.

**3.6 Company as Owner.**

(a) **Ownership.** The Company owns all of the protected-series transferable interests of each Protected Series, as provided in s. 605.2303(1)-(3), Florida Statutes. Every distribution made by a Protected Series is made to the Company.

(b) **Transferee provisions inapplicable to the Company.** Section 605.2303(4), Florida Statutes, applies to the Company, in its capacity as owner of a protected-series transferable interest, any provision of this Agreement that applies to a protected-series transferee. No provision of this

Agreement restricting the rights of a transferee applies to the Company in that capacity, and nothing in this Agreement limits the Company's rights to manage, direct, receive distributions from, or obtain the records and information of any Protected Series.

(c) **No transfer of a protected-series transferable interest.** The Company shall not transfer, assign, pledge, encumber, or otherwise dispose of all or any part of a protected-series transferable interest of any Protected Series to any person, and no Protected Series shall issue a protected-series transferable interest to any person other than the Company. Any purported transfer or issuance in violation of this paragraph is null and void ab initio and shall be given no force or effect for any purpose.

## **ARTICLE 4 — THE MEMBER; MEMBERSHIP INTEREST**

**4.1 Sole Member.** The Member identified on Exhibit A is the sole member of the Company and holds one hundred percent (100%) of the Membership Interest. The Company has a single class of ownership; no certificates shall be issued unless the Manager determines otherwise.

**4.2 No Series-Level Ownership.** The Member is not an Associated Member of any Protected Series and holds no protected-series transferable interest. Each Protected Series is wholly owned by the Company as provided in Section 3.6, and the Member's economic rights in every Protected Series arise solely through the Member's interest in the Company.

**4.3 Limited Liability.** The Member shall not be personally liable for any debt, obligation, or liability of the Company or of any Protected Series, whether arising in contract, tort, or otherwise, solely by reason of being a member.

**4.4 No Agency by Status.** The Member is not an agent of the Company or of any Protected Series solely by reason of being a member.

**4.5 Other Activities.** The Member and the Manager may engage in or possess interests in other business ventures of any nature, independently or with others, and neither the Company nor any Protected Series shall have any right in such ventures by virtue of this Agreement.

**4.6 Transfer on Death Designation.** The Membership Interest is "registered" with the Company within the meaning of s. 711.501(7), Florida Statutes. Exhibit A serves as the initial "registration in beneficiary form" under ss. 711.50–711.512, Florida Statutes, and reflects the Member's designation, if any, of the person or persons who will become the owner of the Membership Interest upon the Member's death. Subject to Section 9.3(b), the Member, if an individual, may designate any person or entity as a beneficiary. A designation may name a backup beneficiary to take if the first beneficiary does not survive the Member. The Member may change, delete, or add a TOD designation by a signed writing, witnessed by two witnesses, delivered to the Manager; the change is effective upon receipt unless the Manager objects in writing within seven (7) days, and the Manager shall thereafter update Exhibit A (though updating is not required for effectiveness). A beneficiary who becomes the owner of the Membership Interest under this Section succeeds to the

Membership Interest subject to this Agreement and is admitted as the Member upon delivery to the Company of a written agreement to be bound by this Agreement.

**4.7 Incapacity of the Member.** While the Member is Incapacitated, the Member's rights under this Agreement — including the right to vote, to consent, and to sign any instrument — are exercised by the Member's agent under a durable power of attorney conferring that authority or, if there is none, by the Member's court-appointed guardian. The Company and the Manager may rely on a certified copy of the power of attorney or of the letters of guardianship without further inquiry.

**4.8 Bankruptcy or Insolvency of the Member.** The Member is not dissociated, and the Membership Interest is not forfeited, terminated, or modified, by reason of the Member becoming a debtor in bankruptcy, executing an assignment for the benefit of creditors, or the appointment of a trustee, receiver, or liquidator of the Member or of all or substantially all of the Member's property, and each such event is excluded as an event of dissociation under s. 605.0602, Florida Statutes. The Manager continues in office with the authority stated in this Agreement, and the Company and each Protected Series continue without dissolution or winding up. A person who succeeds to all or any part of the Membership Interest by reason of such an event holds it subject to this Agreement and is admitted as the Member upon delivery to the Company of a written agreement to be bound by this Agreement.

## **ARTICLE 5 — MANAGEMENT**

**5.1 Manager-Managed; the Manager.** The Company is **manager-managed** as provided in its Articles of Organization and this Agreement. The initial Manager is [MANAGER NAMES]. The initial Managers are [MANAGER NAMES]. If more than one person is serving as Manager, every act, approval, consent, decision, or determination of the Manager under this Agreement requires the approval of a majority of the Managers then serving, and no Manager acting alone has actual authority to act for the Company or for any Protected Series. Anything required to be delivered to the Manager may be delivered to any Manager, and a covenant, restriction, or standard of conduct stated in this Agreement as applying to the Manager applies to each Manager individually. This Section governs among the Member and the Managers; it does not affect the agency rights of a Manager under s. 605.04074(2)(b), Florida Statutes, as to a person who dealt with the Manager without knowledge or notice that the Manager lacked authority. A Manager need not be a Member. A Manager serves until that Manager's resignation, removal by the Member, death, or Incapacity; the Member may remove and replace a Manager, appoint an additional Manager, and shall fill any vacancy, by a signed writing delivered to the Company. If a Manager ceases to serve as Manager for any reason, the remaining Managers shall continue to serve.

**5.2 Management of Each Protected Series.** Each Protected Series is **manager-managed**. The Series Exhibit for a Protected Series may name one or more Protected Series Managers of that Protected Series. If it names none, each person then serving as a Manager of the Company is a Protected Series Manager of that Protected Series. As permitted by s. 605.2107(1)(n), Florida Statutes, this Section varies s. 605.2304(2) so that the Protected Series Managers are the Manager

or Managers of the Company rather than the Company itself. A Protected Series Manager has, with respect to its Protected Series, the rights, powers, and duties that a manager of a manager-managed limited liability company has under the Act, subject to this Agreement and the Series Exhibit, and may be removed and replaced with respect to that Protected Series by the Member.

**5.3 Authority of the Manager.** Except as limited by Section 5.4 or an applicable Series Exhibit, the Manager (and, as to a Protected Series, its Protected Series Manager) has full and exclusive authority to manage and conduct the activities and affairs of the Company or that Protected Series, including authority to: acquire, hold, improve, lease, sell, exchange, and convey property; borrow money and grant liens and security interests on Associated Assets; open, maintain, and close bank and investment accounts and designate signatories; engage and compensate employees, attorneys, accountants, and other agents; procure insurance; prosecute, defend, settle, and compromise claims; make tax filings and elections consistent with Article 9; execute and deliver instruments of every kind; and do all other acts necessary, appropriate, or convenient to the conduct of the activities and affairs of the Company or the applicable Protected Series.

**5.4 Actions Requiring Member Approval.** Notwithstanding Section 5.3, neither the Manager nor any Protected Series Manager shall do any of the following without the written consent of the Member:

- (a) sell, exchange, or otherwise dispose of all or substantially all of the Associated Assets of the Company or of any Protected Series, other than in the ordinary course of business;
- (b) file, amend, or cancel a statement of authority under s. 605.0302, Florida Statutes, or record a certified copy of one; or
- (c) make, change, or revoke any election under the Code affecting the classification of the Company or of any Protected Series.

**5.5 Standard of Conduct; Exculpation.** The Manager and each Protected Series Manager shall discharge their duties consistent with the Act, including the duties applicable to managers and protected-series managers. No Manager or Protected Series Manager shall be liable to the Company, any Protected Series, or the Member for any act or omission performed or omitted in good faith and in a manner reasonably believed to be within the scope of authority conferred by this Agreement, except for conduct for which exoneration is prohibited by the Act.

**5.6 Indemnification.** The Company shall indemnify the Manager, and each Protected Series shall indemnify its Protected Series Manager, to the fullest extent permitted by the Act, against losses, claims, and expenses (including reasonable attorney's fees) incurred by reason of service in that capacity, except to the extent arising from conduct for which exoneration is prohibited by the Act or from an act exceeding the authority conferred by Section 5.4; **provided, that any indemnification obligation relating to the activities of a particular Protected Series is an Associated Liability of that Protected Series, payable solely from its Associated Assets,** and any indemnification obligation relating to the activities of the Company generally is payable solely

from the Associated Assets of the Company. A Manager who exceeds the authority conferred by Section 5.4 is liable to the Company or the affected Protected Series for any loss caused by that act, and the Company or Protected Series is entitled to indemnity from that Manager.

**5.7 Compensation; Reimbursement; Shared Expenses.** The Manager shall serve without salary unless the Member consents in writing to compensation. The Manager and each Protected Series Manager shall be reimbursed for reasonable expenses properly incurred on behalf of the Company or the applicable Protected Series. Costs and expenses that benefit the Company and one or more Protected Series (including formation and filing fees, registered agent fees, accounting, insurance, and administrative overhead) shall be allocated among the Company and the Protected Series benefited on a reasonable and consistent basis determined by the Manager — by specific attribution where practicable and otherwise pro rata or by such other reasonable formula as the Manager adopts — and the allocation shall be recorded in the records maintained under Article 8.

**5.8 Statement of Authority.** With the consent of the Member required by Section 5.4(b), the Manager may cause the Company to file with the Department a statement of authority under s. 605.0302, Florida Statutes, stating the authority, or the limitations on the authority, of the Manager, of any Protected Series Manager, or of any person holding a specified position, to transfer or encumber real property held in the name of the Company or of a Protected Series, and may cause a certified copy of that statement to be recorded in the official records of any county in which the real property is located. A statement so filed shall be consistent with this Agreement, and shall be amended or cancelled as necessary to keep it accurate. The limitations in Section 5.4 apply to the Manager whether or not a statement of authority is filed or recorded.

## **ARTICLE 6 — CAPITAL**

**6.1 Contributions.** The Member's contributions to the Company are set forth on Exhibit A. Contributions to a Protected Series are made by the Company and are set forth in the applicable Series Exhibit. Each contribution shall identify whether it is made to the Company or to a specific Protected Series, and shall be deposited to, and recorded in the records of, the recipient. A promise by the Member to make a contribution is enforceable only if set out in a writing signed by the Member.

**6.2 No Obligation; No Interest.** The Member is not obligated to make any additional contribution to the Company or to any Protected Series. No interest shall be paid on any contribution.

**6.3 Separate Accounting.** The Company shall maintain a separate accounting of contributions to, and the capital of, the Company and each Protected Series.

**6.4 Member Loans.** The Member may lend funds to the Company or to a specific Protected Series upon commercially reasonable terms evidenced by a written instrument identifying the borrower. A loan is not a contribution, and shall be an Associated Liability solely of the borrowing Protected Series or of the Company, as applicable. A loan made under this Section shall be documented as indebtedness and does not create a second class of ownership.

**6.5 No Right to Specific Property.** The Member has no right to demand or receive any distribution in any specific property of the Company or of any Protected Series.

## **ARTICLE 7 — DISTRIBUTIONS**

**7.1 Distributions.** The Manager (or, as to a Protected Series, its Protected Series Manager) may from time to time determine the extent to which cash on hand of the Company or of a Protected Series exceeds current and anticipated needs, including operating expenses, debt service, acquisitions, and reserves, and may distribute any such excess.

**7.2 Source Limitation.** Distributions in respect of a Protected Series shall be made **solely from the Associated Assets of that Protected Series, and solely to the Company**; distributions in respect of the Company shall be made solely from the Associated Assets of the Company, to the Member. Each distribution shall be recorded in the records maintained under Article 8, identifying its source.

## **ARTICLE 8 — RECORDS**

**8.1 Records.** The Manager shall maintain, for the Company and for each Protected Series, the records described in this Article. The records of the Company that the Member may inspect include the records maintained under this Article for every Protected Series.

**8.2 Asset Association Records.** The Manager shall create and maintain, and shall cause each Protected Series Manager to create and maintain, records that state the name of the Company or of the applicable Protected Series and describe each of its assets with sufficient specificity to permit a **disinterested, reasonable individual** to:

- (a) identify the asset and distinguish it from any other asset of the Company, of that Protected Series, and of every other Protected Series;
- (b) determine when and from which person the asset was acquired, or how the asset otherwise became an asset of the Company or that Protected Series; and
- (c) for any asset acquired from the Company or from another Protected Series, determine the consideration paid, the payor, and the payee.

Records may be organized by specific listing, category, type, quantity, or computational or allocative formula or procedure (including a percentage or share of any asset), or in any other reasonable manner, consistent with s. 605.2301(4), Florida Statutes, provided the standard of this Section is met.

**8.3 Real Property.** A properly recorded instrument naming the acquiring or conveying Protected Series (by its full statutory name) or the Company, as applicable, serves as an association record and is conclusive of the signer's authority in favor of a person giving value without knowledge of a lack of authority (ss. 605.2301(2)(b) and 605.2301(3)(b), Florida Statutes). Where an interest in

real property is held through a representative, nominee, or similar arrangement as permitted by s. 605.2301(5), Florida Statutes, the arrangement shall be documented under Section 8.4, and the association of the interest shall be established by those records.

**8.4 Holding Associated Assets.** An Associated Asset may be held directly, or indirectly through a representative, nominee, or similar arrangement, as permitted by s. 605.2301(5), Florida Statutes. Any such indirect arrangement shall be documented in the records maintained under this Article, identifying the holder, the Protected Series or the Company for which the asset is held, and the date the arrangement began. No property of the Company or of any Protected Series shall be held in the individual name of the Member or the Manager other than under an arrangement documented under this Section.

#### **8.5 Standing Association Rules; Savings Provisions.**

(a) **Association; interpretation.** Section 605.2301, Florida Statutes, requires records, not any particular record: it is satisfied by records that, read together, permit a disinterested, reasonable individual to make the determinations described in Section 8.2, and s. 605.2301(4), Florida Statutes, permits those records to be organized by specific listing, category, type, quantity, or computational or allocative formula or procedure, or in any other reasonable manner. As used in this Article, "record" has the meaning given in s. 605.0102(59), Florida Statutes, and shall be construed broadly to include anything of any type, kind, or nature that could reasonably associate an asset, debt, or any other thing with a Protected Series or the Company. Accordingly: (i) this Agreement, each Series Exhibit, each asset schedule, and the account, titling, tax, insurance, and transaction records of the Company or of a Protected Series are records within the meaning of s. 605.2301, Florida Statutes, may be read together and in combination to satisfy its requirements, and no single document, form, or sequence is required; (ii) an asset is an Associated Asset of the Company or of the Protected Series that any such record identifies, from the date the asset was acquired or otherwise became an asset; (iii) association established by any record is not defeated by the absence or incompleteness of any other record; (iv) the standing rules in paragraph (b) are a procedure adopted under s. 605.2301(4), Florida Statutes, and apply to every asset they reach, whether or not any other record exists; and (v) where the records permit more than one reading, the reading that associates an asset with the Company or Protected Series that acquired, holds, or uses it controls. This Agreement shall be interpreted and applied to give the fullest effect permitted by law to the association of assets under this Article, to the separateness of the Company and of each Protected Series, and to the limitations of liability described in Section 3.3.

(b) **Standing association rules.** As a standing procedure adopted pursuant to s. 605.2301(4), Florida Statutes, and without limiting any other record: (i) an asset acquired by an instrument naming a Protected Series, or titled in the name of a Protected Series, is an Associated Asset of that Protected Series from the date of acquisition; (ii) an asset acquired with consideration paid from a deposit account of a Protected Series is an Associated Asset of that Protected Series; (iii) funds on deposit in an account established in the name of a Protected Series, and interest thereon,

are Associated Assets of that Protected Series; (iv) the income, rents, profits, proceeds, and products of, the insurance proceeds relating to, and every replacement or substitution for, an Associated Asset are Associated Assets of the same person; and (v) every asset acquired in the name of the Company, and every asset not associated with a Protected Series under clauses (i) through (iv) or under any other record maintained under this Article, is an Associated Asset of the Company.

(c) **Correction of records.** The Manager may, and upon discovery of any inaccuracy or omission shall, supplement or correct any record maintained under this Article so that it accurately reflects the association of assets and liabilities, and records as so supplemented or corrected shall be given effect to the fullest extent permitted by law. A record supplemented or corrected under this paragraph relates back to, and is given effect from, the date of the record it supplements or corrects, to the fullest extent permitted by law.

(d) **Reformation; severability in favor of association and separateness.** If any provision of this Agreement or of any Series Exhibit, or any act taken under either, would otherwise be construed to impair the association of an asset under this Article, the separateness of the Company or of any Protected Series, or the limitations of liability described in Section 3.3, this Agreement shall be applied and, to the minimum extent necessary, deemed modified so as to preserve them, and the provision or act shall be given effect as so modified from the time it was made. To the extent a provision cannot be so conformed, it is null and void ab initio and shall be given no force or effect for any purpose, and every other provision of this Agreement and of each Series Exhibit remains in full force.

**8.6 Movement of an Asset Between Protected Series.** If an Associated Asset of a Protected Series becomes an Associated Asset of another Protected Series, however the transaction is denominated, then to the extent the fair market value of what one Protected Series gives exceeds the fair market value of what it receives, the excess is deemed for all purposes of this Agreement to have been distributed by that Protected Series to the Company as provided in Section 7.2 and, immediately thereafter, contributed by the Company to the other Protected Series as provided in Section 6.1.

## **ARTICLE 9 — TAX MATTERS**

**9.1 S Corporation Status.** The Company has elected, or intends to elect, classification as an association taxable as a corporation and S corporation status under section 1362 of the Code, and it is intended that the election remain continuously in effect. The Member shall execute the consents and other instruments (including IRS Form 2553) necessary or appropriate to make and maintain the election, and no election shall be revoked without the Member's written consent. Each Protected Series is wholly owned by the Company. If a Protected Series is treated as an entity separate from the Company for federal income tax purposes, it is intended that the Protected Series be disregarded as an entity separate from its owner, so that its items of income, gain, loss, deduction, and credit are reported by the Company.

**9.2 Returns; Information.** The Manager shall cause to be prepared and filed all tax returns required of the Company (including Form 1120-S) and of each Protected Series, if necessary or required, and shall deliver to the Member, after the end of each fiscal year, the information (including Schedule K-1) necessary for the Member's returns.

**9.3 Protecting the Election.** While the S corporation election is in effect:

(a) no Transfer of all or any part of the Membership Interest, or of any transferable interest, may be made to any person who is not an eligible S corporation shareholder under section 1361 of the Code, or that would cause the number of shareholders to exceed the limit of that section, and any purported Transfer in violation of this clause is null and void ab initio and shall be given no force or effect for any purpose;

(b) a TOD designation under Section 4.6 is effective only in favor of a beneficiary that is an eligible S corporation shareholder under section 1361 of the Code, and a designation in favor of any other person is null and void ab initio and shall be given no force or effect for any purpose;

(c) no additional member may be admitted except as Section 10.1 permits; and

(d) no Protected Series may be established, and no ownership interest in the Company issued or adjusted, except consistent with Section 3.6(c), Section 4.2, and the one-class-of-stock requirement of section 1361 of the Code, and any such establishment, issuance, or adjustment in violation of this clause is null and void ab initio and shall be given no force or effect for any purpose.

**9.4 Intent; Savings Clause.**

**(a) Intent.** It is the express intent of the Member that the Company qualify at all times as a small business corporation eligible for a valid election under section 1362 of the Code, that the election be and remain in effect, and that this Agreement, each Series Exhibit, and every other agreement relating to the Company or any Protected Series be interpreted, applied, and administered consistent with that intent.

**(b) Offending provisions are void ab initio.** Any provision of this Agreement, of any Series Exhibit, or of any other agreement relating to the Company or any Protected Series that would (i) cause the Company to fail to qualify as a small business corporation, (ii) cause the Company to have more than one class of ownership, or (iii) otherwise cause the election to be invalid or to terminate, is null and void ab initio and shall be given no force or effect for any purpose, as though it had never been included.

**(c) Offending acts are void.** Neither the Member nor the Manager, and no Protected Series, shall take any action, or omit to take any action, that would cause the election to be invalid or to terminate; any purported action or omission in violation of this subsection is null and void ab initio and shall be given no force or effect for any purpose.

**(d) A single class of ownership in all events.** Notwithstanding any other provision of this Agreement or of any Series Exhibit, the Company shall at all times have a single class of ownership, and no distribution, allocation, or other act shall be made or taken that would cause any ownership interest in the Company to confer other than identical rights to distributions and liquidation proceeds.

**(e) Conforming construction.** To the extent any provision can be conformed rather than voided, this Agreement shall be applied and, to the minimum extent necessary, deemed modified so that the Company has a single class of ownership and the election remains valid.

**(f) Relief for inadvertent termination.** If the election nonetheless terminates or is determined to be invalid, the Member and the Manager shall cooperate to obtain relief for an inadvertent termination or invalid election under section 1362(f) of the Code, including making the adjustments and taking the actions the Internal Revenue Service may require.

**9.5 Other Elections.** The Manager may make, change, or revoke any other tax election for the Company or any Protected Series that is consistent with maintaining the S corporation election and that the Manager determines to be in the best interests of the Member.

**9.6 Fiscal Year.** The fiscal year of the Company and of each Protected Series is the calendar year unless another year is permitted for an S corporation under section 1378 of the Code and selected by the Manager.

## **ARTICLE 10 — ADMISSION OF ADDITIONAL MEMBERS**

**10.1 Admission.** One or more additional members may be admitted to the Company only with the written consent of the Member, upon the admitted person's delivery of a signed agreement to be bound by this Agreement, and only if that person is an eligible S corporation shareholder under section 1361 of the Code and the admission would not cause the number of shareholders to exceed the limit of that section. Any purported admission in violation of this Section is null and void ab initio and shall be given no force or effect for any purpose.

**10.2 No Association with a Protected Series.** No Member may be associated with a Protected Series. A Protected Series may not be established with, and may not admit, an Associated Member.

**10.3 Continuation on Termination of Last Member.** Upon the termination of the membership of the last remaining member, the Company shall not be dissolved, and the legal representative of the last remaining member shall agree in writing to continue the Company, and the representative (or an Immediate Family Member designated by the representative who is not a creditor of the last remaining member) shall be admitted as a member effective as of the terminating event, all as permitted by the Act.

## **ARTICLE 11 — DISSOLUTION AND WINDING UP**

**11.1 Dissolution of a Protected Series.** A Protected Series is dissolved, and its activities and affairs shall be wound up, upon the first to occur of: (a) the dissolution of the Company; (b) an event or circumstance specified in its Series Exhibit; (c) the affirmative vote or consent of the Member; or (d) entry of a judicial order dissolving the Protected Series as provided by the Act.

**11.2 Winding Up a Protected Series.** Upon dissolution of a Protected Series, its Protected Series Manager (or another person designated by the Member) shall wind up its activities and affairs in the manner provided by the Act for winding up a limited liability company, applied to that Protected Series. Its Associated Assets shall be applied: first, to pay or provide for its Associated Liabilities to creditors (including the Member as a creditor, to the extent permitted by law); and then the balance to the Company. The Manager shall cause any statement or filing required by the Act or the Department in connection with the dissolution of the Protected Series to be made. The winding up of a Protected Series shall not draw upon, and its creditors shall have no recourse to, the Associated Assets of the Company or of any other Protected Series.

**11.3 Dissolution of the Company.** The Company is dissolved, and its activities and affairs shall be wound up, upon the first to occur of: (a) the written consent of the Member; (b) entry of a decree of judicial dissolution under the Act; or (c) any other event that under the Act requires dissolution. The death, incapacity, bankruptcy, dissociation, or withdrawal of the Member does not by itself dissolve the Company. Dissolution of the Company causes the dissolution of each Protected Series, and the winding up of the Company is not complete until the winding up of each Protected Series is complete.

**11.4 Winding Up the Company.** Upon dissolution of the Company, the Manager (or, if there is none, a person designated by the Member) shall wind up the Company and each Protected Series. After the winding up of each Protected Series under Section 11.2, the remaining Associated Assets of the Company shall be applied: first, to pay or provide for the Company's Associated Liabilities to creditors; and then the balance to the Member. Articles of dissolution shall be filed as the Act requires, and the Company shall terminate when winding up is complete.

**11.5 Recourse Limited.** The Member shall have no obligation to contribute capital in connection with any winding up, and each creditor of the Company or of any Protected Series shall look solely to the Associated Assets of its obligor.

## **ARTICLE 12 — AMENDMENTS; CONSENTS**

**12.1 Amendments.** This Agreement, including any Series Exhibit, may be amended only by a written instrument signed by the Member; provided, that (a) the Manager may amend Exhibit A and each Series Exhibit without further consent solely to record changes duly made under this Agreement (admissions, Transfers, and TOD designations); and (b) any amendment changing the

rights or obligations of the Manager may not impose new obligations on the Manager without the Manager's written consent. Oral, implied, or course-of-dealing amendments are of no effect.

**12.2 Action by Written Consent.** Any action of the Member, or of the Company, under this Agreement may be taken by a written consent signed by the Member and maintained with the Company's records. No meetings are required.

## **ARTICLE 13 — MISCELLANEOUS**

**13.1 Governing Law; Internal Affairs.** This Agreement, the internal affairs of the Company and of each Protected Series, and the relations among the Member, the Manager, each Protected Series Manager, the Company, and each Protected Series, are governed by the laws of the State of Florida, without regard to conflict-of-laws principles.

**13.2 Venue.** Any action or proceeding arising out of or relating to this Agreement, the Company, or any Protected Series shall be brought exclusively in the courts of the county in Florida in which the Company's principal office is located, and each party consents to the jurisdiction of such courts and waives any objection to venue there.

**13.3 Severability.** If any provision of this Agreement is held invalid or unenforceable, that provision shall be modified to the minimum extent necessary to make it enforceable, and the remainder of this Agreement shall remain in full force; provided, that nothing in this Agreement shall be construed to vary any provision of the Act that may not be varied by an operating agreement.

**13.4 Entire Agreement.** This Agreement, including Exhibit A and each Series Exhibit, constitutes the entire agreement governing the Company and each Protected Series and supersedes all prior agreements and understandings with respect to their subject matter.

**13.5 Binding Effect.** This Agreement binds and benefits the Member, the Manager, and their respective heirs, personal representatives, successors, and permitted assigns, and any person who acquires an interest in the Company or is admitted as a member.

**13.6 Counterparts; Electronic Signatures.** This Agreement may be executed in counterparts, each of which is an original and all of which together constitute one instrument. Electronic signatures and electronic records have the same effect as originals.

**13.7 Notices.** Any notice under this Agreement shall be in writing and is effective upon delivery to the recipient's address on Exhibit A (or another address designated in writing), whether delivered personally, by nationally recognized courier, by certified mail, or by e-mail with confirmation of transmission.

**13.8 No Third-Party Beneficiaries.** This Agreement is for the exclusive benefit of the parties and confers no rights on any creditor or other third party.

**13.9 Interpretation.** Headings are for convenience only. "Including" means "including without limitation." References to statutes include amendments and successor provisions. Words in the singular include the plural, and words in the plural include the singular, as the context requires.

**13.10 Unregistered Interests.** The Membership Interest has not been registered under federal or state securities laws and may not be offered, sold, or transferred except in compliance with this Agreement and applicable law.

## **SIGNATURES**

IN WITNESS WHEREOF, the undersigned have executed this Agreement effective as of the date(s) set forth below.

### **MEMBER:**

\_\_\_\_\_

[MEMBER NAME]

Date: \_\_\_\_\_[MEMBER NAME]

By: \_\_\_\_\_

[PRINTED NAME]

[TITLE]

Date: \_\_\_\_\_

### **ACKNOWLEDGED AND AGREED BY MANAGER:ACKNOWLEDGED AND AGREED BY MANAGERS:**

\_\_\_\_\_

[MANAGER NAME], Manager

Date: \_\_\_\_\_

[MANAGER NAME], Manager

By: \_\_\_\_\_

[PRINTED NAME]

[TITLE]

Date: \_\_\_\_\_

## EXHIBIT A — MEMBER; CONTRIBUTIONS; TOD DESIGNATION

**Company:** [COMPANY NAME], LLC

| Item                                                 | Information                            |
|------------------------------------------------------|----------------------------------------|
| Member name                                          | [MEMBER NAME]                          |
| Member address                                       | [ADDRESS]                              |
| Membership Interest                                  | 100% (single class of ownership)       |
| Initial contribution to the Company                  | \$(AMOUNT) [and/or described property] |
| Date of contribution                                 | [DATE]                                 |
| Capital allocated by the Company to Protected Series | [SERIES CONTRIBUTIONS]                 |
| Retained by the Company                              | [RETAINED]                             |

### Contributed assets:

| Asset   | Agreed value  | Allocated to |
|---------|---------------|--------------|
| [ASSET] | [ASSET VALUE] | [ASSET TO]   |

### Transfer on Death designation (ss. 711.50–711.512, Fla. Stat.):

Upon the death of the Member, the Membership Interest shall pass to: **[TOD BENEFICIARY NAME(S)]**, or if that beneficiary does not survive the Member, to **[TOD BACKUP NAME(S)]**, or if none is designated or the designation fails, the Membership Interest passes as provided by law. A designation is effective only in favor of a beneficiary that is an eligible S corporation shareholder (Section 9.3(b)).

## **SERIES EXHIBIT PS-[N]**

**Protected Series name (exactly as filed with the Department):**

**[COMPANY NAME], LLC - PS [N]**

| <b>Item</b>                            | <b>Terms</b>                                                                                                                                          |
|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose of this Protected Series       | Any lawful purpose, including, without limitation, [PURPOSE]                                                                                          |
| Owner of this Protected Series         | The Company. This Protected Series has no Associated Members (ss. 605.2302(1), 605.2303(2), Fla. Stat.).                                              |
| Protected Series Manager               | Same as Company Manager                                                                                                                               |
| Contributions to this Protected Series | By the Company: [CONTRIBUTION]                                                                                                                        |
| Initial Associated Assets              | As set forth on the Asset Schedule attached to this Series Exhibit and completed by the Member, together with the records maintained under Article 8. |
| Special terms (if any)                 | [None / variations from the base Agreement — may not vary Article 8, Article 9, or non-variable provisions of the Act]                                |

**Adopted effective [DATE] by the Company, acting through its Manager: Adopted effective [DATE] by the Company, acting through its Managers:**

\_\_\_\_\_  
[ADOPTER NAME], Protected Series Manager

[ADOPTER NAME], Protected Series Manager

By: \_\_\_\_\_

[PRINTED NAME]

[TITLE]

## ASSET SCHEDULE — ATTACHMENT TO SERIES EXHIBIT PS-[N]

Complete this schedule for each asset of this Protected Series. Describe each asset so that a stranger could identify it without asking you anything: real property — street address AND legal description, date acquired, and grantor; deposit account — institution, account title, last four digits, and date opened; vehicle — year, make, model, and VIN; equipment — description and serial number; contract — parties and date. For any asset acquired from the Company or from another Protected Series, also state the consideration paid, the payor, and the payee. Add pages as needed; keep this schedule current as assets are acquired and disposed of.

| Asset description | Date acquired | Acquired from | Consideration / payor / payee (if from the Company or another series) |
|-------------------|---------------|---------------|-----------------------------------------------------------------------|
|                   |               |               |                                                                       |
|                   |               |               |                                                                       |
|                   |               |               |                                                                       |
|                   |               |               |                                                                       |
|                   |               |               |                                                                       |

Form document — [COMPANY NAME], LLC Operating Agreement (Manager-Managed, Single Member / S Corporation), v1 draft. Statutory citations in this form: ss. 48.062, 605.0102, 605.0302, 605.0602, 605.2101, 605.2103, 605.2107, 605.2201, 605.2301, 605.2302, 605.2303, 605.2304, 605.2401, 605.2602, 605.2605, 605.2607, 605.2802, 605.04074, 711.50, 711.501, 711.512, Fla. Stat. Internal Revenue Code sections: 1361, 1362, 1378.

[TITLE] of [COMPANY NAME], LLC — generated by MyFloridaSeriesLLC · Master [EDITION]